

109	Martinez vs. Wavepointe, Inc 2022-01244959	Motion for Approval of Class Settlement The court has reviewed and considered the papers filed in support of plaintiff’s motion for approval of a \$635,000 PAGA settlement. The court has the following questions and comments: 1. Were all moving papers submitted to the LWDA? Plaintiff must file with the court an actual proof of service identifying the specific documents served on the LWDA, when plaintiff served the documents, and how service was effected. <u>As to the settlement:</u> 2. The parties should provide plaintiff’s total anticipated consideration to be received (including for any individual claims). Plaintiff should also submit a copy of his individual settlement agreement (§ 2.3). 3. Plaintiff should provide the estimated high, low, and average individual awards for aggrieved employees. 4. What is the total estimated number of aggrieved employees and pay periods? It appears there are 461 (ROA 320 § 10) aggrieved employees, but the 27,756 total pay periods in the settlement (§ 4.1) appears to apply only to Convergent, not Wavepointe. 5. The escalator provision (§ 8) provides two options. Prior to approval, the parties must determine (1) whether the escalator provision has been triggered, (2) the final gross settlement amount, and (3) the final PAGA Period. 6. The “PAGA Released Parties” provision (§ 1.29) is overbroad. It includes unrelated, ambiguous and/or unidentified third parties including “present and future direct or indirect,” “and affiliates,” “and future,” “consultants, partners, joint venturers,” “agents, trustees, fiduciaries, shareholders, accountants, and agents, legal representatives, insurers, and reinsurers,” which should be removed. 7. The “Release by PAGA Settlement Members” (§ 5.2) is overbroad. Everything following “all claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the PAGA Period facts stated in the Operative Complaint and the PAGA Notice” should be deleted. 8. Plaintiff’s counsel must disclose whether counsel has any fee-splitting arrangement with any other counsel, including the exact percentages, or confirm none exists. 9. Plaintiff must provide his notice(s) to the LWDA notice.
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		10. All parties must state, in declarations filed with the court, whether they are aware of any class, representative or other collective action in any other court that asserts claims similar to those asserted in this case. If any such actions are known to exist, the declarations shall state the name and case number of any such case and the procedural status of that case, and describe the impact of the proposed settlement on that case. 11. Plaintiff's counsel seeks attorneys' fees totaling 1/3 of the gross settlement amount. Absent unique circumstances, the court is unlikely to approve an attorneys' fees award that exceeds 30% of the gross settlement amount. Plaintiff's counsel should address in the supplemental filing whether any such unique circumstances exist here. 12. Plaintiff seeks an enhancement award of \$10,000. The court is unlikely to approve an enhancement award in excess of \$5,000 absent unique circumstances. Plaintiff should address in the supplemental filing whether any such unique circumstances exist here. 13. Plaintiff's counsel seeks \$6,800.13 in costs. Plaintiff's counsel should submit invoices supporting the mediation costs. <u>As to the notice:</u> 14. The notice letter should be revised consistent with the above. 15. Does the notice need to be prepared in languages other than English? 16. Rather than identifying the Labor Code section numbers, the notice should describe the violations alleged. 17. Include the release and identify the released parties. 18. Include the financial terms and explain the statutory allocation to the LWDA and to aggrieved employees. 19. Identify the PAGA Period. 20. Inform aggrieved employees they cannot exclude themselves from the settlement. 21. Inform aggrieved employees they will not be retaliated against for cashing their check. 22. Explain the period of time checks will be negotiable and what happens to unclaimed funds. 23. Explain the tax treatment of individual payments to aggrieved employees. 24. Provide contact information for the administrator and counsel and instruct aggrieved employees not to contact the court.
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As to the proposed order:

25. The proposed order and judgment should be revised consistent with the above.
26. It should be styled as an order and judgment approving the settlement. “Order for motion” in the footer is incorrect.
27. Remove the attorney information from the caption page.
28. Identify and attach the settlement, any amendments, and the notice (including any translations) as exhibits. ¶¶ 1, 2.
29. The same issues identified above apply to the release and the released parties. ¶ 6. Include the definitions.
30. The administrator shall be awarded \$4,220; the “no more” qualifier should be removed. ¶ 8.
31. Propose a realistic date for a final accounting hearing. The court conducts final accounting hearings on Thursdays at 2:00 p.m. The proposed order and judgment shall state that counsel shall submit a final administrator’s report at least 16 court days before the hearing addressing the status of the settlement administration, including the actual amounts paid to the aggrieved employees and the other amounts fully and finally distributed under the settlement, including any uncashed checks.

The hearing on plaintiff’s motion for approval is continued to **December 3, 2026 at 2:00 p.m. in Department CX102** to permit the parties to address and respond to the above issues. A supplemental brief shall be filed at least 16 court days before the hearing and shall address as necessary each of the above points. The parties must provide redlined versions of all revised documents (e.g., revised settlement agreement, revised notice, revised proposed order) and any settlement provisions revised via amendment.

Plaintiff is ordered to give notice, including to the LWDA, and to file a proof of service. Plaintiff must also serve the LWDA with any supplemental brief and any amended settlement documents and file a proof of service.